PSBs are Sick

PSBs reported a net loss of Rs 66,608 crore in 2018–19 and Rs 26,015 crore in 2019–20.

All other kinds of banks (barring payments banks, which are congenitally flawed) made a profit in both these years. PVBs made a profit of Rs 27,621 crore in 2018–19 and Rs 19,111 crore in 2019–20. Profitability of FBs was the highest; they reported profits of Rs 14,508 crore and Rs 16,180 crore in these two years.

The accumulated capital, reserves and surpluses (net worth) of PSBs were Rs 6.53 lakh crore and the aggregate assets size was Rs 107.83 lakh crore at the end of 2019–20. While the aggregate assets to GDP ratio exceeded 53 per cent of estimated GDP (indicating the enormous systemic value of PSBs), the net worth was only 6.06 per cent of aggregate assets. PVBs, on the other hand, had a net worth of Rs 6.19 lakh crore on aggregate assets of Rs 58.32 lakh crore, a ratio of net worth to assets of 10.61 per cent. FBs had a net worth to assets ratio as high as 15.35 per cent. The net worth of PSBs is fast depleting despite large capital infusion by the government on account of deeper sickness.

The capital to risk-weighted assets ratio (CRAR) is the lowest for PSBs among the three large components of the banking industry: PSBs, PVBs and FBs. PSBs' CRAR was 12.9 per cent (12 per cent in the previous year) in 2019–20 whereas the CRAR of PVBs and FBs was 16.5 per cent and 17.7 per cent, respectively.

PSBs are writing off NPAs in a big way. In 2019–20 as well, they wrote off Rs 1.78 lakh crore worth of NPAs. Gross NPAs outstanding for PSBs at the end of 2019–20 were as large as Rs 6,78,317 crore (despite some moderation on account of standstill on recognition of NPAs), which was 10.3 per cent of their gross advances. The outstanding gross NPAs of PVBs at the end of 2019–20 were Rs 2.10 lakh crore, 5.5 per cent of gross